

SENATE BILL 1702

By Yarbro

AN ACT to amend Tennessee Code Annotated, Title 7 and
Title 67, relative to taxes levied by metropolitan
governments.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-702, is amended by deleting
subdivision (a)(1)(B) and substituting:

(B)

(i) As used in this subdivision (a)(1)(B), "city tax rate" means:

(a) With regard to a city or town that is located within a county
that has not adopted the maximum rate of two and three-quarters percent
(2.75%) as set forth in subdivision (a)(1)(A), a rate adopted by the city or
town that is equal to the difference between the county rate and the
maximum rate as authorized by § 67-6-703; or

(b) With regard to a metropolitan government, the rate of taxation
established under subdivision (a)(1)(A).

(ii) A city or town or metropolitan government that has adopted a city tax
rate may:

(a) Levy a tax on the retail sale of food and food ingredients, as
described in § 67-6-228(a), within the jurisdiction of the city or town or
metropolitan government at a rate lower than the city tax rate levied for
other privileges, goods, and services; or

(b) Exempt from the city tax rate the retail sale of food and food
ingredients, as described in § 67-6-228(a), within the city or town or

metropolitan government. This exemption does not affect the continued collection by a metropolitan government of a surcharge levied pursuant to § 67-4-3202 on the retail sale of food and food ingredients.

(iii) The incorporated city or town shall furnish a certified copy of the adopted ordinance or metropolitan government shall furnish a certified copy of the adopted resolution authorized in subdivision (a)(1)(B)(ii) to the department of revenue. The reduced tax rate or exemption becomes effective on the first calendar day of the month occurring at least sixty (60) days after the department receives the certified copy. The reduced tax rate or exemption applies:

(a) For incorporated cities or towns, only to tax periods beginning on or after October 1, 2024; or

(b) For metropolitan governments, only to tax periods beginning on or after October 1, 2026.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.